

Cultural Sensitivity & Crisis Management: The D&G China Case

Session 6 · Case discussion — when a brand misreads a culture

Case: Hung & Ho (2019), *D&G's Marketing Missteps in China* · with HBR readings by
Molinsky (2013) and Hahn & Molinsky (2018)

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About this session

- **The case:** Kineta Hung & Mary Ho (2019), *D&G's Marketing Missteps in China (A)*, Asia Case Research Centre, University of Hong Kong.
- **Toolkit reading 1:** Andy Molinsky (2013), "Preparing for Inevitable Cultural Faux Pas," *HBR* — build a **forgiveness strategy** before you slip.
- **Toolkit reading 2:** Melissa Hahn & Andy Molinsky (2018), "How to Recover from a Cultural Faux Pas," *HBR* — a **five-step recovery** process.
- **Two levels of the same problem:** the case is an **organizational** faux pas; the articles give the **individual** manager's playbook.
- **Our path today:** the case facts → why the ad failed → managing the crisis → the personal toolkit for preparing and recovering.

Learning objectives

- Explain why **humour and cultural elements** in advertising are high-risk across cultures.
- Use the **three Ms** (matter, media, manner) to diagnose an offensive campaign.
- Apply a **crisis-management** lens — the three phases, speed, and “stealing thunder.”
- Use **attribution theory / SCCT** to match a repair strategy to the type of crisis.
- Translate the lesson to the **individual** level: prepare for and recover from your own faux pas.
- Connect all of this back to **culture** — Hall, Hofstede and Meyer from earlier sessions.

PART 1 — THE CASE

D&G's Marketing Missteps in China

18 November 2018 — three videos, and 24 hours to a full-blown crisis



D&G — brand snapshot

- Italian luxury house founded in **1985 in Milan** by Domenico Dolce and Stefano Gabbana; built on “Sicily, tailoring and tradition.”
- **Privately owned** — no external investors, so the founders design for the ultra-wealthy and “indulge their creative fantasies.”
- **Vertically integrated:** design, manufacturing and distribution in-house; its own global store network.
- Revenue ≈ **€1.29 bn** (FY2018, flat year-on-year); net profit €60.5 m, down from €80 m the year before.
- The founders — especially Stefano Gabbana — were **active, outspoken** on social media.

D&G in China — a market it could not afford to lose

- Entered mainland China in **2005** — the first Italian fashion company licensed to operate **without a local joint venture**.
- First flagship in **Hangzhou** (2005); by 2018, **40+ boutiques** across Greater China.
- China was both a key **market** and a source of **design inspiration** (the Chinese Palace collection, qipao; ambassadors Karry Wang & Dilraba).
- Chinese shoppers were the **world's biggest luxury buyers** — the likely engine of future growth.
- Analysts' warning: up to **~30% of revenue** could be at risk if a China crisis were mishandled.

The campaign: #DGLovesChina — “Eating with Chopsticks”

18 NOVEMBER 2018 · THREE SHORT VIDEOS TO PROMOTE THE FIRST-EVER SHANGHAI CATWALK (21 NOV)

- A Chinese model in a D&G sequined dress struggles to eat **pizza, cannoli and spaghetti with chopsticks**, against red lanterns and traditional music.
- A male narrator **lectures** her in a mocking tone — “Is it too big for you?” — and repeatedly mispronounces “Dolce” as “**Dos.**”
- Posted on Instagram, Facebook, Twitter **and Weibo**; hashtags #DGLovesChina and #DGTheGreatShow.
- Intended as **light comedy** — “an homage to China.” The reaction was the opposite.
- Under public pressure, D&G pulled the videos from Weibo within **24 hours** — but left them on Western platforms.

Why it enraged China — the cultural misreadings

- **Chopsticks are a cultural symbol** — a Chinese invention taught from childhood. “Playing” with them reads as **disrespect**, not comedy.
- The model’s eyes were **artificially narrowed** — an **Asian stereotype** — and “is it too big for you?” carried a **sexist** undertone.
- The **condescending narrator** implied Chinese food and chopsticks were **inferior** to Italian cuisine and the fork.
- Mispronouncing “Dolce” as “Dos” **mocked the Chinese accent**; the on-screen “Shanghai” even used a wrong **Japanese kanji** font.
- **Outdated orientalism** (red lanterns) ignored modern, cosmopolitan China — “this is definitely not what China looks like now.”
- Historical irony: pasta is widely believed to **descend from Chinese noodles** (via Marco Polo).

Intended vs. received meaning

A brand controls the message it **sends**, not the meaning the audience **makes** — and meaning is made through culture.

Element	What D&G intended	How China received it
Chopsticks + Italian food	Playful East-meets-West comedy	Mockery of a sacred cultural symbol
The narrator	Charming, tongue-in-cheek guide	Arrogant, colonial, talking down
The model	Endearing, curious protagonist	A demeaning Asian stereotype
“DGLovesChina”	A love letter / homage to China	“They’ll take our money but look down on us”
Traditional imagery	Respectful nod to heritage	Outdated, patronising view of a modern nation

Based on Hung & Ho (2019). Culture provides the schema through which audiences interpret advertising.

Not the first time — a pattern of missteps

- **2012 — Hong Kong.** Guards barred locals from photographing the Canton Road store → protests; a formal apology came only after ~**10 days**.
- **2016 — spring campaign.** Chinese “tourists” taking selfies and shopping stirred unease about how China was portrayed.
- **2017 — #DGLovesChina hutong shoot.** Models beside poor locals in old alleys near Tiananmen — “it almost looks like North Korea!” A clash with the concept of **face**.
- **2018 — the videos.** The same blind spot, now amplified — and the founder had a track record of **controversial public remarks**.
- **Pattern, not accident:** a repeated failure to see modern China, intensifying every new crisis.

The response — and the clock

What D&G did

Pulled the videos from **Weibo only** — no statement, no apology. Left them live on Western platforms. Then **let the debate simmer** for days as the catwalk approached.

What the moment demanded

The Shanghai show was **days away**. Up to **~30% of revenue** was exposed. China expected a **fast, sincere** response that showed the brand understood *why* people were hurt.

The decision point (Case A): a formal apology — now? On which channels? Said how? And should the show go on?

Discussion questions

WORK IN YOUR GROUPS • 10 MINUTES • BE READY TO DEFEND A POSITION

- **1 • The ad.** Why were the videos offensive? What was the intended joke — and why did it fail? Could it have been done better?
- **2 • Humour & brand.** How does humour fit D&G's brand? What are the advantages and the risks — and how would you “turn it around”?
- **3 • Crisis response.** How effective was D&G's crisis communication? What should it have done — and how can it prevent a recurrence?
- **4 • Rebuilding.** How can D&G repair the reputational damage and rebuild its long-term image in China?

PART 2 — DIAGNOSIS

Why the Advertisement Failed

Controversial advertising, the three Ms, and the trouble with humour



Controversial advertising and the three Ms

Controversial ads deliberately court strong emotion. Their offensiveness turns on three things (Prendergast & Ho, 2006).

Matter

What is advertised. Luxury fashion is not inherently offensive — so this was not the problem here.

Media

Where it runs. The more **public** the medium, the lower the tolerance — and global social media is as public as it gets.

Manner

How it is conveyed — **the decisive factor**. People are offended more by manner than by matter. D&G's manner was the whole problem.

D&G's offence lived entirely in the **manner**: silliness, sexual undertones and a condescending tone — broadcast on the most public of media.

Humour in advertising — a double-edged sword

Humour can be powerful — but every advantage has a matching risk that grows when the ad crosses cultures.

Potential advantages	Risks — especially across cultures
High message retention	It is genuinely hard to be funny
Grabs and holds attention	If the joke misfires, the audience feels insulted
Creates a positive mood toward the brand	Humour does not build source credibility
Distracts from counter-arguing the ad	May be wrong for a prestige / luxury product
	Humour is subjective and deeply culture-bound

Dahlen, Lange & Smith (2010); Tom & Catanescu (2001), via Hung & Ho (2019).

Turning the joke around

- Effective creativity needs **both** divergence **and** relevance: novel *and* meaningful, appropriate and valuable to **this** audience.
- D&G had plenty of divergence — but almost **no relevance** to how Chinese viewers see themselves.
- **Turn the joke on yourself.** Show a Western man clumsily eating Chinese soup with a knife — poke fun at **Italian**, not Chinese, culture.
- Tellingly, exactly such a **reverse parody** circulated on Weibo *after* the crisis — and Chinese audiences loved it.
- **Rule of thumb:** when using humour or cultural elements abroad, run it past **local eyes** before launch — test for offence on safe channels first.

Culture as the schema for meaning

- **Culture is the schema** audiences use to decode an ad — the same 30 seconds means different things in Milan and Shanghai.
- **High-context, collectivist** audiences (China) are **more critical** of sexual or socially negative appeals than low-context, individualist ones.
- Viewers judge offensiveness through their **cultural identity** — endorsing the video would have meant betraying it.
- This is Hall, Hofstede and Meyer in action: **power distance, high/low context, and “face”** all shaped the reaction.
- **Managerial point:** global consistency must be balanced against local meaning — a brand cannot outsource cultural judgement to head office.

PART 3 — THE CRISIS

Managing (and Mismanaging) the Crisis

Three phases, the need for speed, and matching the repair to the crisis



The three phases of crisis management

Crisis management is not one moment of response — it is three phases (Coombs). Most of the work happens before and after.

1

Pre-crisis — prevention & preparation

Anticipate crises, build a plan and a team, pre-draft messages, train spokespeople, connect local teams to HQ. D&G had little of this.

2

Crisis response — react

Respond in the first hour: fast, accurate, consistent, and full of genuine concern for those hurt. This is where D&G stumbled badly.

3

Post-crisis — learn & rebuild

Follow through on promises, repair the reputation, and prepare better for the next one.

Speed, silence and “stealing thunder”

- A good initial response is **fast, accurate and consistent** — and expresses **concern** for those affected.
- **Silence is not neutral.** It lets others control the story and signals you have not grasped the situation.
- **Stealing thunder:** be the **first** to report and frame your own crisis — it measurably reduces reputational damage.
- **Social media compress the clock:** even a single “wrong” customer can turn a complaint into a movement within hours.
- **D&G’s failures:** a Weibo-only takedown, no timely statement, no local spokesperson, days of silence, and a late apology that felt **forced and insincere**.

Attribution & SCCT: match the repair to the crisis

Situational Crisis Communication Theory: the more the public blames **you**, the more accommodative your response must be.

Victim

Minimal responsibility — e.g. rumours, natural disasters. Instructions + care.

Accident

Low responsibility — technical error, a challenge. Add excuse / justification.

Preventable

Strong responsibility — organizational misdeed, human error. Needs **apology and/or compensation**.

D&G's scandal was a **preventable crisis** → strong responsibility. Worse, **intensifying factors** — a history of offending China and a controversial founder — magnified the threat. Excuses were never going to be enough; only **apology + compensation + genuine care** could work.

Reputation-repair strategies — and what D&G needed

Benoit & Coombs' master list runs from defensive to accommodative. A preventable crisis calls for the accommodative end.

Strategy	What it means	Fit for D&G?
Deny / attack accuser	“There is no crisis” / confront the critic	No — only for rumours
Scapegoat / excuse	Blame others; deny intent to harm	No — reads as evasion
Justification	Minimise the perceived damage	No — dismisses real hurt
Compensation	Offer gestures of goodwill to those harmed	Yes — signals sincerity
Apology	Take full responsibility; ask forgiveness	Yes — the core response

Benoit (1995, 1997); Coombs (2007), via Hung & Ho (2019).

Rebuilding the brand in China

- **Localise the response:** use a Chinese PR agency and let **local staff lead** authentic, culturally fluent campaigns.
- **Test before you launch:** put every campaign with humour or cultural content in front of **third-party local reviewers**.
- **Empower local voices:** encourage local teams to **speak up** rather than passively follow global guidelines.
- **Balance global and local:** keep brand consistency, but drop the paternalistic, one-size-fits-all approach.
- **Diversify the team:** hire local talent and run internal **cultural-sensitivity training** — starting at the top.
- **Rebuild relationships** with consumers, retailers, celebrities, media and government — reputation is a long game.

PART 4 — THE PERSONAL TOOLKIT

When You Make the Mistake

Molinsky (2013) and Hahn & Molinsky (2018): prepare for — and recover from — your own faux pas



Prepare: have a “forgiveness strategy”

Mohammed, trained in deferential Saudi manners, came across as “weak” in a New York interview. We all slip abroad — so plan for it (Molinsky, 2013).

Shape how it is read

Make your slip look like an **honest mistake by someone trying** — not proof you don’t care.

Build swift trust

Show **authentic** interest in their culture. Learn how trust is actually built in that setting.

Find a cultural mentor

A trusted local guide can **coach you ahead** of the moments that really count.

You already have a strategy for **learning** a new culture. Do you have a strategy for being **forgiven** in it?

Recover: a five-step process

Mistakes are inevitable, so turn them into learning (Hahn & Molinsky, 2018).

1

Ditch the obsession with performance

Swap a “performance mindset” for a **learning mindset** (Dweck). Stop catastrophizing — mistakes are the raw material of learning.

2

Equip yourself with knowledge

Learn the norms — and how people in this culture **react to** mistakes. Invest in relationships **before** you need them.

3

Keep your cool

Assess the damage; if an apology is due, deliver one close to the local norm. A prior bond makes forgiveness far easier.

4

Engage in self-reflection

Ask: what did I do, how did they react, what did I miss, what would I do differently? Write it down.

5

Get feedback

Ask trusted locals what you’re missing; rehearse before high-stakes moments; lean on — don’t hide — your foreignness.

Performance mindset vs. learning mindset

Performance mindset

Mistakes = proof of your limits.

Thinking **constricts**; you become stiff and inauthentic.

Catastrophizing: “If I bow the wrong way, I’ll blow the deal!”

Learning mindset

Mistakes = chances to improve.

You stay **loose, curious and authentic** — which is what actually builds relationships.

Improvement takes time, and will involve slip-ups along the way.

The same idea scales up: D&G defended its “performance”; a learning organization would have listened, reflected and adapted.

Key takeaways

- **Culture makes the meaning.** You control the message you send, never the meaning the audience makes — so test with local eyes.
- **Humour and cultural elements are high-risk abroad;** judge the **manner**, not just the matter, and be ready to poke fun at yourself.
- **In a crisis, speed and sincerity win.** Be first to frame it, apologise fully for a preventable crisis, and show genuine care.
- **Empower local voices** and prepare before the crisis — a plan, a team, and people who can say “this won’t work here.”
- **At the individual level,** carry a forgiveness strategy and a learning mindset — prepare for, and recover from, the faux pas you *will* make.

In-class activity: draft D&G's response

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: put the crisis-communication frameworks to work under time pressure.

- 1 You are D&G's **crisis team**, 24 hours after the videos. Classify the crisis (SCCT) and name the **intensifying factors**.
- 2 Draft a **90-word public statement** for Weibo: fast, accurate, consistent — and full of genuine care.
- 3 Decide: does the Shanghai show **go ahead**? On which **channels** do you respond, and who is your **spokesperson**?
- 4 Name **two prevention measures** so this can't recur — and connect one to your own market-entry group assignment.

Be ready to read your statement aloud — the class will judge whether it “steals thunder” or fans the flames.



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